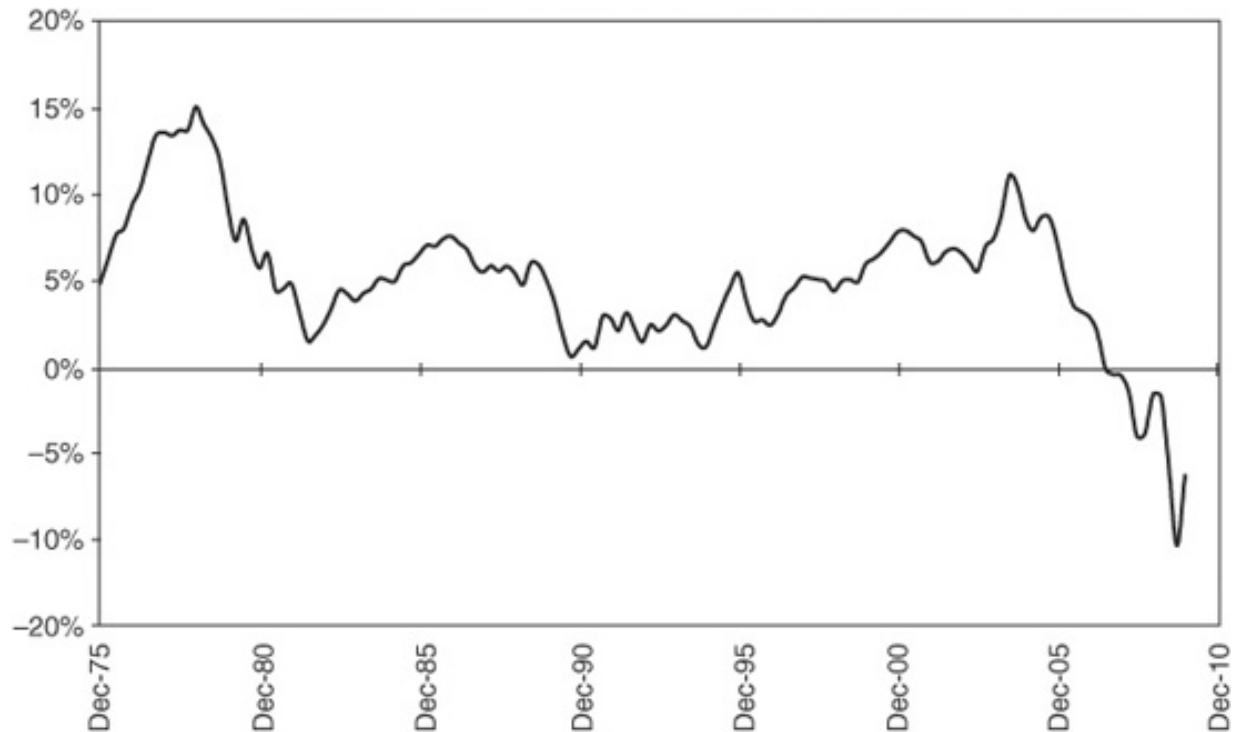


### Housing Price Index, Year-over-Year National Price Change, 1974–2009



originators offered record low interest rates along with new mortgage products that required little money down. Third, the U.S. government provided buying incentives in the form of easy qualification rules and great tax benefits. [Figure 9-10](#) reflects the 30-year mortgage rate as reported by the Federal Home Loan Mortgage Corporation.

When I wrote the first edition of this book in 2005, I stated that the gains in home prices may be close to peaking. At the time, my forecast was for a gradual decline in housing prices in some areas of the country. For once in my professional career I was right about the short-term direction of a market, although I was wrong in my forecast that the price decline would be gradual. Prices fell like a rock from 2007 to 2009, and foreclosures skyrocketed. That left many financial institutions with a lot of illiquid real estate they did not want and could not sell, and that in turn led to a global recession.

I believe that home prices are down to where they should have been all along without the bubble. I would not be afraid to buy a home at 2010 prices.

**FIGURE 9-10**